secure will be quickly eroded by the low return that the business earns. For example, if you buy a business for $8 million that can be sold or liquidated for $10 million and promptly take either course, you can realize a high return. But the investment will disappoint if the business is sold for $10 million in ten years and in the interim has annually earned and distributed only a few percent on cost. Time is the friend of the wonderful business, the enemy of the mediocre.

Despite Klarman's, Whitman's, and Buffett's reservations, the research into the performance of net-net stocks seems to bear out Graham's assertion that there is "scarcely any doubt that common stocks selling well below liquidating value represent on the whole a class of undervalued securities." Buying stocks that meet Graham's net current asset value proxy for liquidation value is a remarkably well-performed investment strategy. In an interview given in 1976, Graham estimated that his net-net strategy had generated an average yearly return of 20 percent over the 30-year life of Graham-Newman, his investment management firm.[16]

We used this approach extensively in managing investment funds, and over a 30-odd year period we must have earned an average of some 20 per cent per year from this source. For a while, however, after the mid-1950s, this brand of buying opportunity became very scarce because of the pervasive bull market. But it has returned in quantity since the 1973–74 decline. In January 1976 we counted over 300 such issues in the Standard & Poor's Stock Guide—about 10 per cent of the total.

Henry Oppenheimer, then an associate professor of finance at the State University of New York at Binghamton, examined the returns to Graham's net current asset value strategy over a 13-year period from December 31, 1970, through December 31, 1983.[17] Oppenheimer's study assumed that all stocks meeting the investment criterion were purchased on December 31 of each year, held for one year, and replaced on December 31 of the subsequent year by stocks meeting the same criterion on that date. The total sample size was 645 net-net selections. The smallest annual sample was 18 stocks and the largest was 89 stocks—many fewer than Graham found in his 1932 study. Oppenheimer's conclusion about the returns to such a strategy is nothing short of extraordinary. He found that the average return over the 13-year period he examined was 29.4 percent per year versus 11.5 percent for the market. To put a compound return of that magnitude in perspective, Oppenheimer wrote that $1 million invested in the net current asset value portfolio on December 31, 1970—the start of the examination—would have increased to $25,497,300 by December 31, 1983—the end of his study. By comparison, $1 million invested in the market would have increased to just $3,729,600.